

You need a mix of assets in your portfolio. Debt gives you the stable core. Include products like your PF, PPF, FDs, bonds and debt funds in the debt part of your portfolio. Equity gives the return kicker – it is the only asset class that gives you returns that beat inflation, at the lowest cost. You can include gold in this, but I prefer to stay with just debt and equity.

Keep about 5–10 per cent at the most of your net worth in gold if you want to. The exact asset allocation between debt and equity will vary from person to person. *The thumb rule for equity is 100 minus your age.* If you are thirty years old, you should have 70 per cent of your money in equity. If you are sixty years old, you should have 40 per cent of your money in equity. Yes, you need equity even when you retire.

Each of your goals will need their own allocation between debt and equity. For example, the goal of retirement that is thirty years away may have an allocation of 100 per cent equity, but a goal for a kids' education that is five years away could have an allocation of 70 per cent debt and 30 per cent equity. Again asset allocation depends on your risk appetite and capacity. The thumb rule is this: the closer you are to the goal, the lesser should be the equity part of your portfolio. Remember that we are over-invested in real estate and debt and have very little equity allocation

A product for every cell

It is time to put a product in every cell. I won't give you product names but will give product types. Financial products are dynamic and will need an update once in a while. It's best you either do your own research or work with a financial planner to get the exact product names.

Cash flow cell

You need three bank accounts when you are starting out. As you get more used to the cash flow system, you can use just two. Your salary account is your income account where all inflows drop.